Moderna (MRNA)

The Post-Pandemic Reality Gap Demands a Structural Reset

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Moderna trades at an unsustainable disconnect from its underlying cash burn and pipeline execution realities, with market capitalization standing at $95.9B despite FY2025 revenue declining 39.9% to $1.92B and operating margin touching negative 159.9%. While management has instituted aggressive operational expenditure reductions and advanced combination vaccine programs through international channels, recent regulatory pushbacks and a massive litigation burden continue to compress the timeline to cash breakeven. Pipeline execution remains bifurcated, as promising oncology durability data and respiratory combination approvals compete directly with late-stage clinical setbacks and legal cash outflows. We establish a Sell rating and a probability-weighted blended target price of $94.94, representing -60.5% upside relative to the prevailing reference spot price of $240.44.

SELL	$94.94	-60.5%	$240.44
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market continues to price Moderna as a high-margin commercial growth platform capable of instantly replacing lost endemic COVID revenues, overlooking the reality that the business recorded an operating income of $-3.07B and burned $-2.08B in free cash flow during FY2025. Consensus has underappreciated how recent legal settlements and clinical delays in non-COVID programs impair intermediate liquidity, creating an asymmetric risk profile where even aggressive operational turnarounds fail to justify current trading multiples.

EXECUTIVE SUMMARY

Moderna operates as an mRNA biotechnology company selling COVID and respiratory vaccines while developing an expansive pipeline of mRNA medicines. The enterprise transformed global healthcare delivery during the pandemic era, yet the subsequent contraction of endemic booster demand has exposed substantial structural friction. In FY2025, the company generated $1.92B in revenue, reflecting a year-over-year contraction of 39.9% from $3.2B in FY2024. Gross profit reached $1.05B, yielding a gross margin of 54.8%, while operating losses expanded to $-3.07B and free cash flow landed at $-2.08B. With market capitalization at $95.9B and enterprise value at corresponding premiums, the equity trades at 49.9x latest fiscal year revenue and 49.2x enterprise value to revenue, multiples that demand flawless commercial transition and aggressive pipeline monetization that current clinical and legal realities fail to substantiate.

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The evidentiary record over the past four quarters reveals meaningful internal cost rationalization offset by severe regulatory and pipeline headwinds. In Q3 FY2025, revenue reached $1.0B, driven by $971M in COVID vaccine sales, of which $781M originated in the United States following the launch of mNEXSPIKE. However, that quarter also demonstrated deep seasonal fragility, as RSV product sales reached only $2M. By Q4 FY2025, top-line performance dropped 30% year-over-year to $0.7B as COVID fatigue deepened, while the regulatory apparatus delivered a material blow when the FDA issued a rare Refusal-to-File on the seasonal flu vaccine mRNA-1010. While management successfully reduced FY2025 operating expenditures to $5.0B, the delay of this central commercial diversification pillar extended the enterprise cash drain.

Operational execution showed mixed momentum entering FY2026. In Q1 FY2026, revenue increased 260% year-over-year to $389M on international volume deliveries, while the European Union granted approvals for mCOMBRIAX, the first flu and COVID combination, alongside mNEXSPIKE. Nevertheless, an $878M litigation settlement with Arbutus pushed the GAAP net loss to $1.34B. In Q2 FY2026, revenue of $145M outperformed guidance of $50-100M, and net loss contracted 5% to $(782)M as cost of sales fell 22%, R&D decreased 7%, and SG&A dropped 6%. However, the pipeline experienced another setback as the norovirus vaccine candidate mRNA-1403 missed its Phase 3 interim success criteria. While an August 5 PDUFA for the seasonal flu vaccine mFLUSIVA followed a unanimous VRBPAC recommendation, clinical variance across the portfolio continues to inject substantial risk into multi-year commercial projections.

Capital preservation remains the primary operational mandate as management attempts to navigate toward self-funded operations. The enterprise balance sheet closed FY2025 with $2.60B in cash and $1.30B in total debt, yielding net cash of $1.29B, alongside an ROE of -32.6% and diluted EPS of $-7.26. While quarterly balance sheet metrics indicated gross cash balances of $8.1B at the close of FY2025, $6.6B in Q3 FY2025, and $6.9B in Q2 FY2026, these balances faced immediate depletion from the $950M litigation payment in July 2026 following the Arbutus dispute. Guidance for 2026 year-end cash has been adjusted to a range of $4.5B to $5.0B. With a significant portion of annual revenue compressed into the second half of the fiscal year, Moderna remains highly sensitive to seasonal immunization uptake and ongoing pipeline conversion hurdles.

OPERATIONAL SNAPSHOT

$240.44	$1.92B	$-2.08B	-108.0%	1.09	$240.44
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS SPECIALIZED AND CONTESTED

Moderna established an unprecedented intellectual and manufacturing footprint during the global mobilization for mRNA vaccines, constructing dedicated modular synthesis facilities, proprietary lipid nanoparticle formulations, and streamlined antigen sequencing protocols. This production architecture created temporary cost advantages and rapid response capabilities across respiratory biology. The regulatory apparatus established for the Spikevax

franchise, alongside subsequent strain updates cleared across 40 countries and the domestic approval of mNEXSPIKE, demonstrates the capacity of the company to shepherd synthetic biology candidates through global regulatory pathways. In infectious disease, this scientific foundation offers genuine differentiation compared to traditional egg-based or recombinant protein vaccine platforms.

However, the commercial durability of this moat has proven highly contested across key product verticals. Switching costs in respiratory vaccines are virtually nonexistent at the consumer and provider levels, leaving commercial uptake heavily exposed to consumer sentiment, seasonal immunization fatigue, and aggressive commercial positioning by established pharmaceutical peers. The vulnerability of the franchise was made apparent in Q3 FY2025, where RSV product sales reached only $2M despite broader platform investments. Furthermore, the intellectual property foundation underpinning the lipid nanoparticle delivery systems has faced sustained legal challenges, culminating in the $878M Arbutus settlement that crystallized into a $950M cash obligation in July 2026. Rather than operating as an unassailable toll road, the technology platform faces ongoing legal claims and patent defense requirements that directly tax enterprise cash flows.

Pricing power has similarly eroded as government procurement contracts have transitioned toward open, commercial retail markets. Although international deliveries yielded a 260% revenue rebound to $389M in Q1 FY2026 and EU approvals for mCOMBRIAX and mNEXSPIKE establish near-term market access, pricing discipline across commercial payers remains constrained by public health budgeting pressures. The company has attempted to expand its technological moat into broader mRNA medicines, evidenced by Intismeran Phase 2b data demonstrating a 49% reduction in recurrence or death versus Keytruda alone in oncology, with Phase 3 melanoma data expected in 2026. Yet until oncology and diversified therapeutics achieve regulatory clearance and commercial volume, the competitive position of the business remains uncomfortably levered to seasonal respiratory vaccines where competitive barriers remain volatile.

VALUATION

Three scenarios make the valuation range explicit

To assess the intrinsic value of Moderna across its transformation cycle, we utilize an explicit five-year discounted cash flow framework covering the forecast window from FY2026 to FY2030. Our valuation parameters anchor upon an equity beta of 1.09 and a discount rate of 8.77%, reflecting the weighted average cost of capital required by institutional investors given the balance sheet leverage, clinical volatility, and operational burn. The terminal growth rate for the base case is set at 2.0%, consistent with long-term macroeconomic expansion and healthcare sector inflation. Diluted shares in the model are fixed at 399.0 million units.

The valuation scenarios capture the profound divergence between pipeline commercialization and persistent platform headwinds. In our Bear scenario, the top line expands at a five-year revenue compound annual growth rate of 25.7% from the depressed FY2025 baseline, achieving a final forecast year target free cash flow margin of 20.4%. In our Base scenario, successful execution of combination respiratory vaccines and commercial expansion into European markets drives a revenue CAGR of 68.2%, with operating leverage lifting the final year target free cash flow margin to 32.9%. In our Bull scenario, broad clinical execution, including respiratory dominance and the

successful commercialization of advanced pipeline assets, propels revenue growth to an 89.9% CAGR with target free cash flow margins reaching 42.1%.

Weighting these trajectories across our probability framework of 25% for the Bear case, 50% for the Base case, and 25% for the Bull case yields our intrinsic valuation targets. Against the reference spot price of $240.44 as of October 20, 2026, the model demonstrates that even under constructive operating leverage assumptions, current trading levels substantially exceed fundamentally supported benchmarks.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	25.7%	20.4%	$19.74	-91.8%
Base	50%	68.2%	32.9%	$88.99	-63.0%
Bull	25%	89.9%	42.1%	$182.04	-24.3%

Bear $19.74

Respiratory vaccine revenue continues to stagnate amid ongoing immunization fatigue while pipeline diversification stalls following clinical setbacks such as the norovirus Phase 3 interim miss and previous CMV failures. Heightened litigation liabilities and substantial ongoing cash burn erode the balance sheet, resulting in a 25.7% revenue CAGR, a 20.4% target free cash flow margin, and an equity valuation of $19.74 representing -91.8% downside.

Base $88.99

Combination products such as mCOMBRIAX gain steady market penetration across Europe and the United States while seasonal flu offerings stabilize the respiratory franchise following regulatory review. Rigorous operating expense control supports a pathway toward operational stabilization, delivering a 68.2% revenue CAGR and a 32.9% target free cash flow margin to yield a base valuation of $88.99, indicating -63.0% downside.

Bull $182.04

Commercial execution achieves optimal conversion across international markets, the seasonal flu launch executes without friction, and late-stage oncology candidates confirm transformative clinical outcomes. Strong operational leverage expands free cash flow margins to 42.1% on an 89.9% revenue CAGR, establishing a bull target of $182.04, which still represents a -24.3% discount to prevailing spot prices.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our capital asset pricing framework derives a weighted average cost of capital of 8.77%, calibrated against an equity beta of 1.09. This discount rate reflects the blended cost of enterprise funding, taking into account the corporate capital structure encompassing $1.30B in total debt and the volatile equity risk premium demanded by public markets given the recent history of substantial GAAP net losses, which reached $-2.82B in FY2025. The 1.09 beta input captures the

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.77% (2026-10-20)**
Terminal growth	**2.0%**

sensitivity of Moderna to macroeconomic spending cycles, biopharmaceutical sector volatility, and shifting investor sentiment regarding biotechnology cash preservation.

Rather than treating the cost of capital as a passive benchmark, our model recognizes that market pricing of Moderna's risk is acutely sensitive to balance sheet execution. The requirement to fund heavy R&D programs, which stood at $649M in Q1 FY2026, while concurrently satisfying major legal cash obligations, elevates the fundamental hurdle for equity holders. The 8.77% discount hurdle appropriately penalizes distant, unproven pipeline cash flows, requiring intermediate commercial programs to demonstrate tangible operating contributions before capital value can compound.

FCF margin normalization is the engine

The transition from severe operational cash deficits to positive free cash flow generation forms the core quantitative variable in our model. In FY2025, Moderna recorded a free cash flow margin of -108.0% on $-2.08B in negative free cash flow, alongside an operating margin of -159.9%. Reversing this trajectory requires substantial rationalization across the cost structure. The evidentiary record demonstrates meaningful progress, with combined cost of sales, R&D, and SG&A declining 34% in Q3 FY2025, FY2025 operating expenditures falling by $2.2B to $5.0B, and adjusted cash costs dropping 26% year-over-year in Q1 FY2026.

Across our forecast window, the baseline cash flow mechanics assume an ongoing expansion of manufacturing utilization and an elimination of unutilized capacity charges, which already dropped cost of sales by 22% year-over-year in Q2 FY2026. In our Base scenario, the normalization engine drives target free cash flow margins to 32.9% by FY2030, supported by lower infrastructure burn and the commercialization of higher-margin combination vaccines. In the Bull scenario, superior commercial absorption lifts margins to 42.1%, whereas the Bear scenario models a constrained recovery to 20.4%, held down by pipeline attrition and prolonged overhead outlays.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

Equity beta	**1.09**
Diluted shares	**399.0 million**

SELL

over $94.94
blended target

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Respiratory Franchise Stabilization and Pipeline Monetization SELL

The primary commercial driver for Moderna remains the stabilization of its core respiratory franchise, which encompasses COVID vaccines, seasonal influenza assets, and combination respiratory candidates. In FY2025, total revenue stood at $1.92B, with quarterly operational results highlighting extreme seasonality. In Q3 FY2025, the company generated $1.0B in revenue, supported by $971M in COVID vaccine sales, including $781M in the United States following the launch of mNEXSPIKE, while international COVID sales contributed $190M. However, off-peak quarters reveal the low baseline demand, with Q4 FY2025 delivering $0.7B, Q1 FY2026 producing $389M, and Q2 FY2026 generating $145M. Establishing dependable commercial cadence requires successful market penetration of updated formulations and combination offerings.

Commercial execution in European jurisdictions represents an essential growth corridor to offset domestic vaccine fatigue. The recent European Union approvals for mCOMBRIAX, representing the first approved flu and COVID combination vaccine, along with mNEXSPIKE, establish the foundation for European market capture starting in 2027. International deliveries were the principal catalyst behind the 260% revenue rebound in Q1 FY2026. Nevertheless, commercial delivery must overcome severe seasonal concentration. With the Q1 FY2026 corporate guide projecting H1 revenue of $0.4B to $0.5B, approximately $1.6B of full-year revenue was left dependent on second-half execution, leaving the franchise heavily exposed to autumn vaccination uptake and supply chain fulfillment schedules.

The secondary driver centers on regulatory approval and commercial introduction of diversified respiratory vaccines, led by the seasonal influenza program. Following a setback in Q4 FY2025, when the FDA issued a Refusal-to-File on the seasonal flu vaccine mRNA-1010, the company restructured its regulatory submission. In Q2 FY2026, the seasonal flu vaccine mFLUSIVA received a unanimous VRBPAC recommendation ahead of its August 5 PDUFA date, positioning it as a potential fifth commercial product approval to broaden the revenue base beyond standalone COVID offerings. However, execution across other non-COVID areas has met resistance, illustrated by RSV product sales generating only $2M in Q3 FY2025, and mRNA-1403 missing its interim statistical criteria in Phase 3 norovirus trials during Q2 FY2026.

The tertiary operational driver is aggressive overhead contraction. Management reduced FY2025 operating expenditures to $5.0B, reflecting a $2.2B reduction from prior levels, with Q4 FY2025 R&D declining 31% and SG&A contracting 12%. Continued discipline carried into FY2026, with the full-year OpEx guide of approximately $4.0B implying an additional 20% contraction. In Q1 FY2026, R&D dropped 24% to $649M and SG&A fell 18% to $173M, leading to a 26% decline in adjusted cash costs. In Q2 FY2026, the company improved its FY2026 R&D outlook by $100M and raised its year-end cash guidance by $200M. While these measures preserve liquidity, sustained equity value creation ultimately depends on generating positive cash flow from operations rather than cost reductions alone.

What to monitor

- **Flu vaccine regulatory clearance and commercial rollout** Monitoring the commercial conversion of mFLUSIVA following the unanimous VRBPAC recommendation and the August 5 PDUFA date to evaluate non-COVID revenue diversification.
- **Autumn immunization trends and seasonal delivery execution** Tracking second-half revenue delivery against corporate targets given the heavy weighting of sales in H2 relative to the $0.4B to $0.5B H1 guidance window.
- **Phase 3 clinical trial readouts across advanced therapeutics** Evaluating the clinical trajectory of the blinded Phase 3 norovirus mRNA-1403 program alongside upcoming Phase 3 melanoma data for Intismeran following its 49% recurrence or death reduction in Phase 2b.
- **Balance sheet preservation and cash burn run-rate** Following cash depletion toward the updated 2026 year-end cash guide of $4.5B to $5.0B, following the $950M litigation payout in July 2026 and prior credit draws.

-39.9%	54.8%	-159.9%	-108.0%	$1.29B	-32.6%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$1.92B
Gross Profit	$1.05B
EBIT	$-3.07B
Net Income	$-2.82B
EBITDA	$-2.54B
Free Cash Flow	$-2.08B
Diluted EPS	$-7.26
ROE	-32.6%

RISK & MOAT MATRIX

The bear case

SHARE EROSION	M&A DIGESTION	REGULATORY AND PRICING SCRUTINY	TECHNOLOGY DISRUPTION	REINVESTMENT TREADMILL	WACC AND DURATION SENSITIVITY
Core COVID	Capital deployed		Alternative vaccine	Sustaining a diverse pipeline of	

vaccine sales remain vulnerable to pervasive public fatigue and shifting booster compliance, resulting in persistent baseline volume contraction. Intensifying competition across respiratory indications threatens to limit market penetration for standalone and combination offerings.

toward external scientific assets or platform expansions risks generating suboptimal returns if clinical translation falters. Internal capital allocation must remain tightly focused on core assets to avoid draining finite liquidity reserves.

Regulatory hurdles, such as the FDA Refusal-to-File on the seasonal flu vaccine mRNA-1010 in Q4 FY2025, demonstrate the continuous operational risk facing pipeline submissions. Commercial pricing power faces ongoing resistance as public health buyers and private insurers enforce strict cost-benefit thresholds.

platforms, including next-generation protein formulations and alternative synthetic modalities, threaten to undercut mRNA efficacy and tolerability profiles. Setbacks such as the norovirus mRNA-1403 Phase 3 interim statistical criteria miss underscore the clinical delivery challenges inherent in novel targets.

mRNA medicines requires substantial ongoing capital outlays, as evidenced by R&D spending of $649M in Q1 FY2026 alone. Clinical attrition or extended trial timelines force elevated cash expenditures to maintain development pipelines without immediate commercial returns.

With an 8.77% discount rate applied against long-duration cash flow streams, intrinsic valuation is highly vulnerable to cost of capital fluctuations. Failure to achieve self-funded operations within guided timeframes threatens to force dilutive financing, further impairing common equity value.

The strengths

OLIGOPOLY POSITION

Moderna maintains an established commercial footprint across global respiratory healthcare, validated by Spikevax strain updates approved across 40 countries. Its industrial manufacturing infrastructure enables rapid formulation shifts to address evolving dominant viral strains.

FCF COMPOUNDING

Structural reductions in operational expenditure, including a $2.2B reduction in FY2025 OpEx to $5.0B and an anticipated drop to ~$4.0B in FY2026, establish operational leverage. Unutilized capacity reductions drove a 22% year-over-year decline in cost of sales in Q2 FY2026, improving unit economics.

GEOGRAPHIC DURABILITY

Regulatory authorization across international jurisdictions diversifies commercial exposure away from purely domestic procurement dynamics. European Union approvals for mCOMBRIAX and mNEXSPIKE position the enterprise to expand international revenue beginning in 2027.

PIPELINE OPTIONALITY

Beyond infectious disease, the mRNA medicine pipeline demonstrates clinical activity, highlighted by Intismeran showing a 49% reduction in recurrence or death versus Keytruda alone in Phase 2b melanoma studies. Long-term pipeline assets provide meaningful expansion optionality if late-stage trials replicate early clinical efficacy.

The bottom line on risk and reward

The risk and reward dynamic for Moderna common stock is decidedly unfavorable at prevailing market quotations. While management has exhibited credible operational discipline by trimming cost structures, lowering R&D outlays, and securing key international combination vaccine clearances, the financial baseline remains burdened by elevated cash absorption and sharp revenue contraction. The FY2025 financial print, highlighted by a revenue drop of 39.9% to $1.92B, operating income of $-3.07B, and negative free cash flow of $-2.08B, sits in stark contrast to an equity market capitalization of $95.9B. Furthermore, the outflow of $950M in cash during July 2026 to resolve the Arbutus litigation materially tightens the liquidity runway toward guided breakeven timelines.

Given the regulatory volatility exhibited by the seasonal flu Refusal-to-File in Q4 FY2025 and the norovirus Phase 3 interim statistical criteria miss in Q2 FY2026, investors cannot assume smooth pipeline conversion. While the Bull case provides upside optionality toward $182.04 in the event of flawless commercial rollout and oncology validation, our 50% weighted Base case of $88.99 and 25% weighted Bear case of $19.74 reflect the tangible drag of platform cash burn, ongoing seasonal dependency, and structural industry resistance. Combining these probability-weighted paths yields our blended target price of $94.94, representing -60.5% upside relative to the reference spot price of $240.44. We reiterate our high-conviction Sell rating.

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FRANCHISE DEEP DIVE

Respiratory and COVID Vaccines: The Maturing Foundation

The commercial cornerstone of Moderna remains its respiratory franchise, which is anchored by its COVID vaccine offerings and expanded by next-generation combination and seasonal respiratory programs. Following the conclusion of emergency procurement programs, the commercial model transitioned to seasonal private markets, introducing deep quarter-to-quarter revenue cyclicality. In Q3 FY2025, commercial delivery showed strong seasonality, posting $1.0B in revenue, supported by $971M in COVID vaccine sales, with $781M derived from the United States following the introduction of mNEXSPIKE and $190M generated across international territories. However, commercial stability remains fragile, as evidenced by Q4 FY2025 revenue declining 30% year-over-year to $0.7B due to pervasive immunization fatigue.

To preserve commercial relevance and expand market presence, Moderna has focused on combination formulations designed to reduce patient injection frequency while consolidating market share. The regulatory authorization of mCOMBRIAX in the European Union, representing the first flu and COVID combination vaccine, together with the approval of mNEXSPIKE, establishes a multi-year commercial runway across European markets starting in 2027. Concurrently, the platform has sought independent respiratory diversification through seasonal influenza vaccines. After receiving an unexpected Refusal-to-File from the FDA on mRNA-1010 in Q4 FY2025, the company successfully advanced mFLUSIVA, earning a unanimous VRBPAC recommendation ahead of an August 5 PDUFA date, representing an important potential fifth product approval.

Nevertheless, the operational reality of the respiratory franchise highlights severe commercial bottlenecks. First, revenue generation is highly back-half weighted. With H1 FY2026 guidance projecting $0.4B to $0.5B, approximately $1.6B in full-year top-line delivery was left reliant on autumn vaccine uptake. Second, non-COVID respiratory diversification has encountered friction, as demonstrated in Q3 FY2025 when RSV product sales contributed just $2M. Third, clinical execution across non-respiratory indications remains uncertain, underscored by mRNA-1403 failing its interim statistical criteria in Phase 3 norovirus trials in Q2 FY2026 while remaining blinded. The franchise remains a cash-generating engine during peak autumn quarters, but its present scale cannot independently justify current enterprise valuation multiples without flawless execution across late-stage clinical programs.

What the recent record shows

- Third-quarter FY2025 respiratory revenue demonstrated strong autumn delivery of $1.0B, led by $971M in COVID sales, with $781M from the US market and $190M from international markets following the mNEXSPIKE launch, though RSV product sales generated only $2M.
- Fourth-quarter FY2025 revenue contracted 30% year-over-year to $0.7B as the FDA issued a rare Refusal-to-File on the seasonal flu vaccine mRNA-1010, disrupting commercialization schedules.
- First-quarter FY2026 international deliveries drove a 260% revenue rebound to $389M, complemented by European Union approvals for mCOMBRIAX and mNEXSPIKE, while an $878M Arbutus litigation settlement expanded the GAAP net loss to $1.34B.
- Second-quarter FY2026 revenue of $145M exceeded guidance of $50-100M, while mFLUSIVA secured a unanimous VRBPAC recommendation ahead of an August 5 PDUFA, contrasted by norovirus mRNA-1403 missing its Phase 3 interim success criteria.

Our read: Moderna has made measurable progress in streamlining manufacturing expenses and expanding international regulatory footprints for its combination respiratory assets. However, persistent second-half revenue concentration, clinical setbacks in novel pipeline indications, and heavy litigation cash outflows undermine the operational turnaround. We conclude that current equity market valuations fail to reflect the structural risks facing the platform, supporting our Sell recommendation and target price of $94.94.